

From a Lynch/PEG screen to a validated, cost-aware equity strategy

The one-paragraph story

We set out to turn the Lynch PEG screener (#225) into a tradeable strategy and tested it with a look-ahead-safe forward-return backtest (12 quarters, 2023 Q1-2026 Q1; EPS gated by SEC filing date). The PEG premise did NOT validate — growth-adjustment was subtractive. What DID validate is a simpler recipe: buy cheap absolute P/E, filtered for earnings quality, only while the stock is in an uptrend. It beat SPY across every portfolio size, liquidity floor, and realistic cost level. Crucially, part of the headline return is survivorship bias — so we report the GUARDED, honest estimate as the base case.

Recommended strategy — “Quality Value + Trend”

- **Universe:** Liquid US common stocks, price $\geq$ \$10, positive TTM EPS
- **Quality gate:** TTM free cash flow > 0 · OCF $\geq 0.6\times$ net income (accruals) · recent YoY EPS > 0
- **Trend filter:** Price above its 200-day moving average (no falling knives)
- **Artifact guard:** $3\times \leq \text{P/E} \leq 45$ · exclude one-time-gain base effects (PEG ≥ 0.10 , growth $\leq 50\%$)
- **Selection:** Rank by LOWEST P/E; hold top 15 equal-weight
- **Rebalance:** Quarterly (~53% turnover / quarter, ~2.1 $\times$ annual)

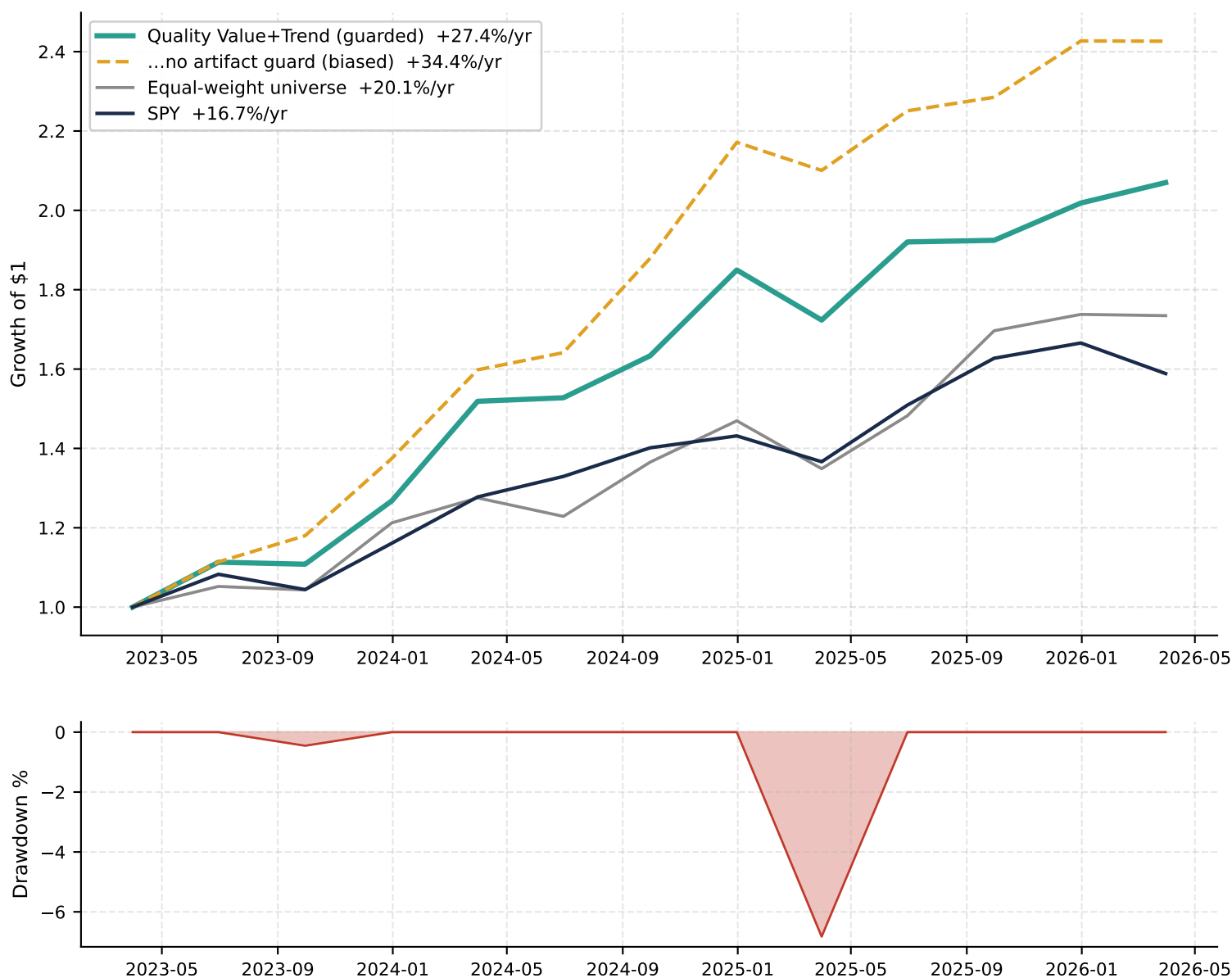
Headline results (guarded / honest base case)

Metric	Guarded (base case)	No-guard (survivorship-inflated)	SPY
Annualized return	+27.4%	+34.4%	+16.7%
vs SPY (ann.)	+10.8%	+17.7%	—
Sharpe (ann.)	1.69	2.29	~1.0
Max drawdown	−6.8%	−3.3%	—
Survives 200 bps costs?	Yes (+13.5 vs SPY)	Yes	—

Verdict

A CONDITIONAL value strategy: expect high-single to low-double-digit alpha vs SPY in value-friendly regimes, and roughly flat-to-negative RELATIVE performance when market leadership narrows to mega-cap growth (as it did in 2025). Not an all-weather 20% machine. Size accordingly.

Growth of \$1 · quarterly rebalanced · 2023 Q1 – 2026 Q1



Per-quarter metrics (guarded base case)

	Guarded	No-guard	EW Universe	SPY
Ann. return	+27.4%	+34.4%	+20.1%	+16.7%
Ann. Sharpe	1.69	2.29	1.34	1.40
Max drawdown	-6.8%	-3.3%	-8.2%	-4.6%
Quarterly hit vs uni	75%	83%	—	—

Five-round validation, each isolating one design choice

Round-by-round

Round	Test	Result
1	PEG top-N across whole universe	FAIL — underperforms equal-weight; signal is large-cap only
2	+ Earnings quality (FCF/accruals/growth)	Additive (Sharpe ↑); leverage screen destructive
3	+ 200-day-SMA trend filter	Best single add: +36.7%/yr, Sharpe 2.37; composite dilutes
4	Robustness (N-sweep, year-by-year)	Robust to N; alpha front-loaded 2023-24, faded 2025
5	Realism (liquidity, costs, guard)	Survives costs; artifact-guard reveals survivorship bias

What WORKS (survived every stress)

- ✓ Cheap absolute P/E as the core ranking signal (beat PEG in nearly every cut).
- ✓ Earnings-quality gate (FCF>0, accrual check, recent growth) — the biggest Sharpe contributor.
- ✓ 200-day-SMA trend filter — episodic but net-positive insurance (saved 2024).
- ✓ Robust across portfolio size (N=10-30), liquidity floors, and 0-200 bps costs.

What does NOT work

- ✗ PEG / growth-adjustment — subtractive here; the Lynch premise did not validate.
- ✗ PEG in small caps — worst segment; quality only partly rescues it.
- ✗ Leverage (liabilities/equity) screen — nukes cheap banks/insurers that were winners.
- ✗ Trusting absolute CAGR — survivorship + a value-friendly regime inflate the numbers.

The survivorship reckoning (Round 5)

Adding the earnings-artifact guardrail LOWERED backtest returns (+34%→+27%). That is a red flag, not a green one: the extra return came from deep-distress names that survived in today's index. Live, some of those delist to zero — invisible to a current-membership backtest. We therefore treat the guarded +27% as the base case and the +34% as an optimistic, bias-inflated ceiling.

Sensitivity checks and the limits of this study

Year-by-year (annualized, guarded champion vs equal-weight universe)

	2023	2024	2025+
Champion	+59.7%	+31.4%	+21.8%
EW universe	+27%	+6%	+29%
Relative	WIN	WIN	LAG

Portfolio-size sweep (champion, vs SPY ann.) Transaction-cost drag (net CAGR)

N	vs SPY	Sharpe
10	+15.5%	2.14
15	+20.1%	2.37
20	+14.0%	2.06
30	+11.4%	2.36

Round-trip	Net CAGR
0 bps	+36.0%
50 bps	+34.5%
100 bps	+33.1%
200 bps	+30.2%

Known limitations — read before allocating

- △ SURVIVORSHIP BIAS: universe is current index membership; delisted/bankrupt names absent → all returns optimistic.
- △ SINGLE REGIME: only ~3 years (2023–26), which favored value/small-cap. Not tested across a value bear market.
- △ NON-STATIONARY ALPHA: relative edge faded in 2025; this is a conditional, regime-dependent strategy.
- △ DATA WINDOW: Polygon history caps ~2021, so median-P/E and growth use ~4-year lookbacks, not full-cycle.
- △ NO SECTOR CAPS YET: book can concentrate in financials/insurers (needs ticker→sector metadata).
- △ NOT ENGINE-NATIVE: backtest is a standalone forward-return study; no Monte-Carlo/WFA until PIT fundamentals exist.

Go / No-Go on point-in-time infrastructure

GO — with clear eyes. The forward-return study proved the signal is real and robust in DIRECTION. The one unresolved question is MAGNITUDE: how much edge is survivorship. That can only be answered with delisting-inclusive, point-in-time universe + fundamentals. Until then, treat guarded ~+11 vs SPY as an optimistic ceiling and paper-trade to accumulate true out-of-sample evidence.

Guarded champion as of 2026-03-31 (illustrative, not advice)

Symbol	Price	P/E	PEG	EPS growth	Cap
HRTG	\$26.25	4.2×	0.35	+12%	Small
KLAC	\$147.24	4.3×	0.29	+15%	Large
UVE	\$34.16	5.4×	0.27	+20%	Small
ALL	\$207.34	5.4×	0.15	+35%	Large
EIX	\$73.18	6.3×	0.78	+8%	Large
BFH	\$74.89	6.9×	1.17	+6%	Small
NECB	\$23.80	7.3×	0.33	+22%	Small
INVA	\$23.30	7.6×	0.35	+22%	Small
GLRE	\$17.29	8.0×	0.41	+19%	Small
CZFS	\$61.15	8.0×	0.32	+25%	Small
MKTW	\$18.72	8.2×	0.18	+46%	Small
ACGL	\$95.99	8.3×	0.81	+10%	Large
SD	\$16.31	8.6×	0.86	+10%	Small
DAL	\$66.48	8.7×	0.68	+13%	Large
PCB	\$22.49	8.8×	1.41	+6%	Small

Recommended next steps

1. Acquire a survivorship-free universe + point-in-time fundamentals; re-run this harness. The gap vs +27% = the survivorship t
2. Wire “Quality Value + Trend” into the backtest engine as a plugin (enables Monte-Carlo / Walk-Forward).
3. Add sector caps (max ~3/sector) once ticker→sector metadata is available.
4. Launch the guarded ranker as a live monthly paper track NOW to build genuine out-of-sample evidence.

Disclaimer

Research output only; not investment advice. Backtested results are hypothetical, subject to survivorship and regime bias, and do not represent actual trading. Past performance does not guarantee future results.